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DJIA 42515.09 ▲ 317.30 0.75% NASDAQ 19701.21 ▲ 1.5% STOXX 600 546.91 ▲ 0.4% 10-YR. TREAS. ▼ 7/32, yield 4.452% OIL \$71.77 ▼ \$1.21 GOLD \$3,396.40 ▼ \$34.80 EURO \$1.1562 YEN 144.75

What's News

Business & Finance

- ◆ **NBCUniversal** marketing executive Adam Stotsky took over as chief executive of Vice Media, aiming to build up the company's studio and advertising arms. **B1**
- ◆ **U.S. stocks rebounded** from a bruising Friday and oil prices fell, with the S&P 500, Nasdaq and Dow rising 0.9%, 1.5% and 0.8%, respectively, and Brent crude shedding 1.3% to \$73.23 a barrel. **B10**
- ◆ **The BOE is set to** leave its key interest rate on hold Thursday as it charts a middle path between European central banks that have cut rates more aggressively and a Fed now on pause. **A7**
- ◆ **Justin Sun's Tron** group will go public through a reverse merger with a small Nasdaq-listed toy company, the founder's latest move to bring his digital-currency empire to the U.S. **B4**
- ◆ **Mitsubishi is in talks** to acquire assets owned by U.S. natural-gas producer Aethon Energy Management in the Haynesville Shale for about \$8 billion. **B3**
- ◆ **OPEC trimmed** its forecast for next year's supply growth from the U.S. and other producers while keeping its expectations for oil demand unchanged. **B10**
- ◆ **TotalEnergies said** it is buying a 25% share in several offshore oil-and-gas exploration areas in the U.S. operated by Chevron, expanding its reach in U.S. waters. **B10**
- ◆ **Amazon plans to** invest about \$13 billion to expand its Australian data-center infrastructure as it seeks to meet global demand for artificial-intelligence computing. **B3**

World-Wide

- ◆ **Iran has been** urgently signaling that it seeks an end to hostilities and resumption of talks over its nuclear programs, sending messages to Israel and the U.S. through Arab intermediaries, Middle Eastern and European officials said. **A1, A6**
- ◆ **Trump decided to** leave the G-7 summit in Canada a day early as the Middle East conflict intensifies, abandoning several conversations on trade and global security. **A2**
- ◆ **Israel's military said** an entire Tehran neighborhood should evacuate ahead of planned strikes there, as city residents sought shelter from a fourth day of bombardment. **A6**
- ◆ **Authorities said** the man accused of shooting two state Democratic lawmakers in Minnesota had visited two other elected officials' homes the night of the attacks. **A3**
- ◆ **Senate Republicans** detailed major revisions of the House's tax-and-spending bill, offering more permanent business-tax breaks, deeper cuts to Medicaid, slower phaseouts for clean-energy tax credits and a much lower cap on the state and local tax deduction. **A4**
- ◆ **A large contingent** of Willkie Farr's San Francisco office is leaving the law firm after it made a deal with the White House to avoid a punitive executive order. **A4**
- ◆ **The cost of** compensating men who were sexually abused in the Boy Scouts of America has reached more than \$7 billion. **A3**
- ◆ **Young job seekers** are having difficulty getting hired in a U.S. labor market that is holding steady despite extraordinary economic upheaval. **A1**

CONTENTS	
Money & Investing	B11
Arts in Review	A11
Opinion	A13-15
Business & Finance	B2-36
Personal Journal	A9-10
Crossword	A11
Sports	A12
Heard on Street	B11
Technology	B4
Markets	B10
U.S. News	A2-4
Markets Digest	B8
World News	A6-7



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Trump Talks Trade Before Leaving Summit Early



DARRYL DYCK/THE CANADIAN PRESS/ASSOCIATED PRESS

HELLO, NEIGHBOR: Prime Minister Mark Carney of Canada welcomed President Trump to the Group of Seven summit on Monday in Kananaskis, Alberta. Amid talks on trade and security, Trump decided to leave a day early because of Mideast tensions. **A2**

OpenAI, Microsoft Tensions Are Reaching a Boiling Point

Startup, frustrated with its partner, has discussed making antitrust complaints

By BERBER JIN

Tensions between OpenAI and Microsoft over the future of their famed AI partnership are flaring up. OpenAI wants to loosen Microsoft's grip on its AI products and computing resources, and secure the tech giant's

blessing for its conversion into a for-profit company. Microsoft's approval of the conversion is key to OpenAI's ability to raise more money and go public.

But the negotiations have been so difficult that in recent weeks, OpenAI's executives have discussed what they view as a nuclear option: accusing Microsoft of anticompetitive behavior during their partnership, people familiar with the matter said.

That effort could involve seeking federal regulatory re-

view of the terms of the contract for potential violations of antitrust law, as well as a public campaign, the people said.

Such a move could threaten the companies' six-year-old relationship, widely seen as one of the most successful partnerships in tech history. For years, Microsoft fueled OpenAI's rise in exchange for early access to its technology, but the two sides have since turned into competitors, making it more difficult to find common ground.

"We have a long-term, pro-

ductive partnership that has delivered amazing AI tools for everyone," representatives for the two companies said in a joint statement. "Talks are ongoing and we are optimistic we will continue to build together for years to come."

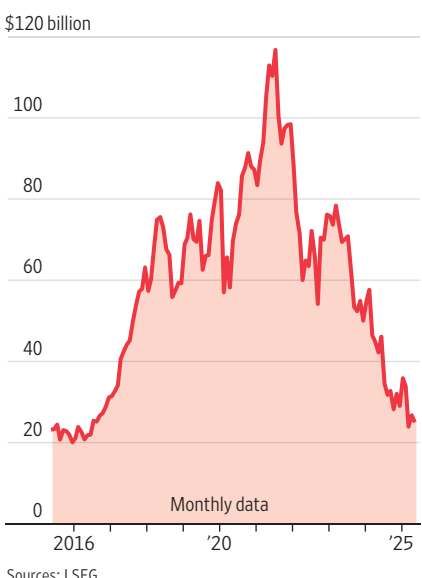
OpenAI and Microsoft are at a standoff over the terms of the startup's \$3 billion acquisition of the coding startup Windsurf, the people said. *Please turn to page A4*

◆ **Heard on the Street: Middle East's AI spending**..... **B11**

Gucci Parent's New CEO

Departing Renault chief Luca de Meo will take over as CEO of Kering, succeeding François-Henri Pinault and ending months of speculation about a possible leadership change at the French fashion group as it seeks to pull its Gucci and Saint Laurent luxury brands out of a slump. **B1**

Kering's market value, past 10 years



Young Grads Looking for Work Confront Employment Crisis

By JUSTIN LAHART AND TE-PING CHEN

The U.S. labor market is holding steady despite extraordinary economic upheaval. But it is a bad time to be a job seeker—especially if you are young.

Recent college and high-school graduates are facing an employment crisis. The overall national unemployment rate remains around 4%, but for new college graduates looking for work, it is much higher: 6.6% over the past 12 months

ending in May. That is about the highest level in a decade—excluding the pandemic unemployment spike—and up from 6% for the 12-month period a year earlier.

That rate, based on data from the Labor Department, applies to people ages 20 to 24 looking for work who have at least a bachelor's degree. (This group is mostly people 21 to 24, since few people graduate college sooner.)

Young graduates typically face a higher unemployment rate than their counterparts

who have been in the workforce longer, but the gap is growing wider between older workers and the young.

Those ages 35 to 44 with bachelor's degrees had a 2.2% unemployment rate over the past 12 months, though that was up from 1.8% over the prior period.

This follows an April report from the Federal Reserve Bank of New York saying labor-market conditions for recent college graduates "deteriorated noticeably" in the first quarter. *Please turn to page A2*

84,000 Baristas, One Champ: Starbucks Crowns a Coffee Maker

Chain hosts first global championship; Fans go wild for Blooming Yuzu Espresso

By HEATHER HADDON

LAS VEGAS—Every second counts. Points are at stake. Controversies are brewing: Should anaerobic processing be allowed? How about yeast fermentation?

Welcome to the competitive barista circuit, where coffee reputations are made and destroyed in 15-minute routines. Events that began around 2000 have mushroomed into cutthroat competitions grading everything from espresso shots to bespoke beverages.

There are even pundits. On the "Golden Brown Coffee" YouTube channel last year, the hosts dissected the one-point win by Mikael Jasini of Indonesia over Australian Jack Simpson in what they

dubbed "the most controversial World Barista Championship ever."

While Jasini adopted a "day spa routine" with his flowing beige attire and references to the body and soul of coffee, Simpson went high-tech. He treated his espresso with "ultralow frequency magnetic waves" and anaerobic fermentation for 150 hours "followed by a thermal shock."

"That's insane," said one of the hosts about the tiny margin between completely different routines.

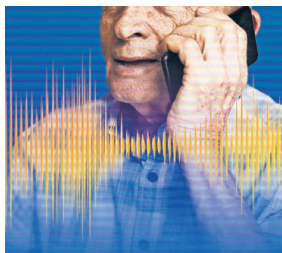
Now, the company that made craft coffee mainstream wants in on the action.

Starbucks is holding a global competition exclusively among its baristas to showcase their *Please turn to page A10*



Grande finale

INSIDE



PERSONAL JOURNAL
Senior citizens find an empathetic listener to help fight loneliness: Meela the AI bot. **A9**



SPORTS
Baseball gets its blockbuster trade that no one saw coming. **A12**

How Trump Blew Up Northwestern's Business Model

White House froze its research funding without offering a way to get it back

By SARA RANDAZZO AND NIDHI SUBBARAMAN

In April, Northwestern University cardiologist Dr. Rod Passman learned the National Institutes of Health had abruptly halted funding for a \$37 million trial testing a new way to treat dangerous heart arrhythmias, with about 1,500 patients already enrolled.

It was part of a university-wide funding freeze that threatened to stall hundreds of projects, including clinical trials with patients on lifesaving medication.

Through the spring, Northwestern used university money to pay bills previously covered by NIH grants, spending tens of millions of dollars

monthly to keep labs and trials running without a break. Researchers and administrators now worry this stopgap can't last.

"The university is totally keeping us on life support," said Dr. Daniela Matei, a Northwestern oncologist. "The big question is for how long they can do this."

For decades, Northwestern celebrated—and relied on—its growing pot of government funding. Now it's a liability.

The sudden collapse of the once-symbiotic relationship between the federal government and higher education is torpedoing a half-century-old university business model and upending how science is done. *Please turn to page A8*